

< Session 1 >

EMBA 60, Negotiations

INTRODUCTION, DISTRIBUTIVE NEGOTIATION, NEGOTIATION STYLE

Hillary Anger Elfenbein

John and Ellen Wallace Distinguished Professor
of Organizational Behavior

EMBA



Washington University in St. Louis

Agenda for Today

- 1. Introduction**
- 2. Debrief: Synertech-Dosagen**
- 3. Distributive Negotiation**
- 4. Negotiation style**
- 5. Exercise: Quads**

EMBA



Washington University in St. Louis

“Negotiation” is a mutual decision about how to allocate scarce resources.

EMBA



Washington University in St. Louis

Course Format

- **Negotiation simulations**
 - Prepare
 - Execute
 - Record results online: Learn from others' experiences
- **Experiential learning**
 - Take some risks, put some skin in the game
 - You don't get the chance to “debrief” in “real life”
 - Need a supportive learning environment AND thick skin
- **Also lectures, cases, and documentary videos**
 - Evidence that negotiators do not learn from experience alone

EMBA



Washington University in St. Louis

Course Requirements

1. **Pre-course assessments (not graded)**
2. **Attendance and participation (20%)**
3. **Peer coaching (not graded)**
4. **“Cheat Sheet” (20%)**
 - Summarize your own take-away points
5. **Reflection Memo (60%)**
 - Bring it all together

EMBA



Washington University in St. Louis

Synertech-Dosagen Results

EMBA



Washington University in St. Louis

BATNA: **Best Alternative to a Negotiated Agreement**

- **Your BATNA is an action plan**
 - Where you stand if this deal falls through
 - Place a value on this alternative
 - Consider all costs and benefits, short and long-term
- **Your BATNA drives your “bottom line”**
 - What is the worst outcome you accept before walking away from the negotiation?
- **Analyze others’ BATNA with equal care to your own**
 - Influence their perception of their own BATNA
- **Invest in improving your BATNA**

EMBA



Washington University in St. Louis

Building your BATNA

**You
Always
Have
Other
Options**

EMBA



Washington University in St. Louis

Discussing your BATNA

- **Referring to your BATNA can help**
 - The other party needs to know you have the power to walk away from the deal
 - Sometimes they already know this, sometimes not
- **Revealing basic information about your BATNA can improve credibility**
- **It harms you to reveal your exact BATNA**
 - No incentive left for other party to do better than BATNA + 1
 - The other party might learn enough to damage your options
 - Sometimes it seems like you are revealing your whole BATNA, when the options are not equivalent, e.g., salaries
- **Practice handling questions about your BATNA**

EMBA



Washington University in St. Louis

Prepare Three Key Numbers

- **Reservation point** (aka “walk-away” or “bottom line”)
 - Below this you should go to your BATNA instead
- **Target point**
 - Realistically, what you can expect typically based on comparable deals
 - Objective data increases legitimacy
 - Even if interpreted subjectively
- **Aspiration point**
 - The best you could hope for, an optimistic outcome you might use as a starting bid
 - Must be able to make a case for this value, ideally based on an objective standard or fairness principle
 - High aspirations help, but not so high as to damage the working relationship with the other party

EMBA



Washington University in St. Louis

Every Offer Tells a Story

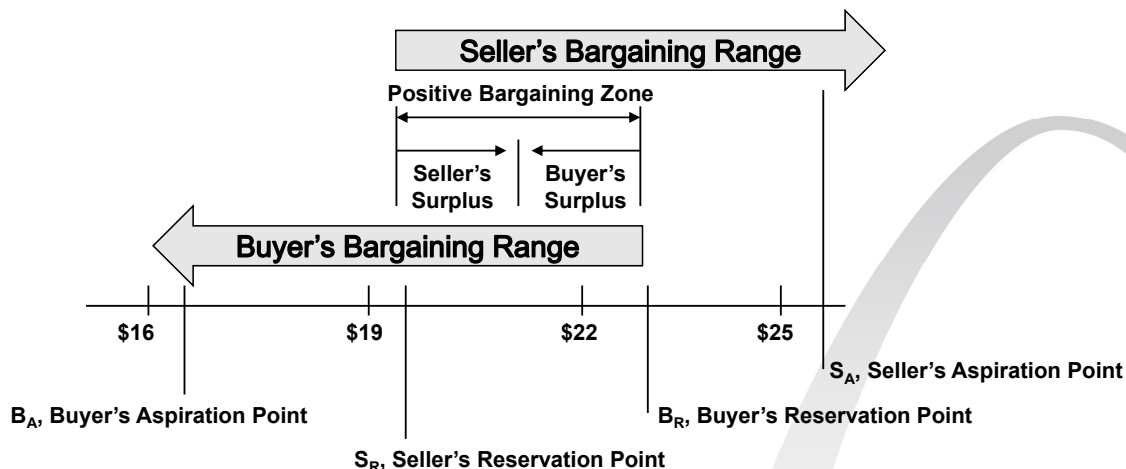
- It is important to share your *reasoning*...
 - Provide some analysis that can explain your offers
 - Even if it is a stretch, you can still present it with a straight face
- ...so no one can find you *unreasonable*
 - They can disagree with your high aspirations without taking it personally or walking away
 - It is the way that you ask than can upset others
- Distinguish your public vs. private story
 - Prepare two separate sets of analyses
 - Don't believe your own hype

EMBA



Washington University in St. Louis

Core Concept: The Zone of Possible Agreement



Mixed motive nature of negotiation

- Cooperate to reach a deal
- Compete to claim the bargaining surplus

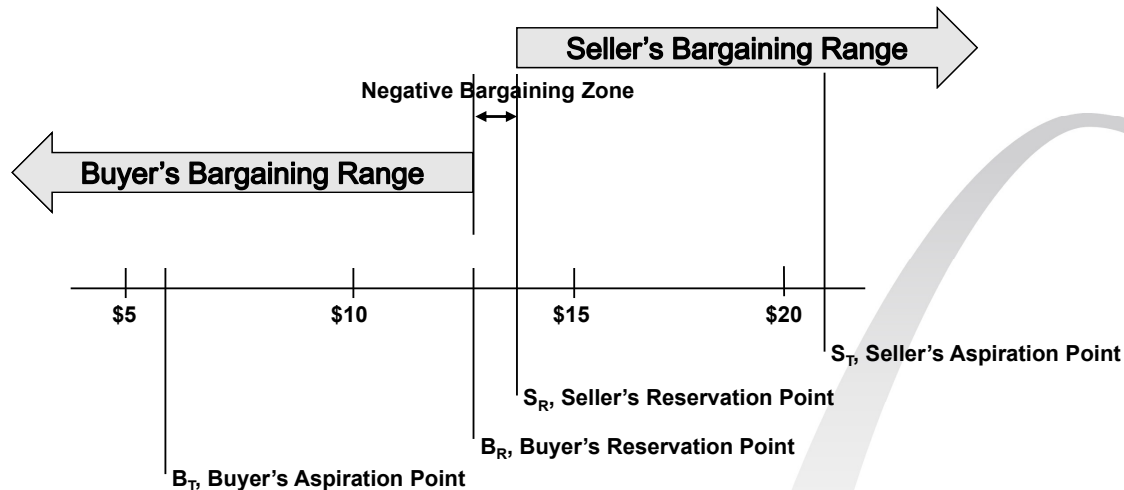
Adapted from Thompson (1991)

EMBA



Washington University in St. Louis

Negative Bargaining Zone



Make deals only within your ZOPA

Figure 3-1b, Thompson (1991)

EMBA



Washington University in St. Louis

*You need to reach
impasses...decide whether
they end with a handshake
or ball of flames*

EMBA



Washington University in St. Louis

Consider the Big Picture

- **Issues, interests, positions**
- **Risk aversion**
- **Patience**
 - Beware of deal fatigue
- **Assess the same factors for the other party!**
 - Why are they in the room?

EMBA



Washington University in St. Louis

Strategic Information Sharing

- **Your goal is to learn about the ZOPA**
 - What are their interests, options, and breaking points?
 - Be open to information that reflects on your options as well
- **Your goal is to shape their perceptions of the ZOPA**
 - ZOPAs vary based on subjective assessments of BATNA
- **Schmooze or lose**
 - Easier to exchange deal-relevant information when you have even a minimal interpersonal context
 - But don't be fooled that the car salesperson is your friend
- **Be open but skeptical of their information**
 - Do independent research wherever possible

EMBA



Washington University in St. Louis

The Power of “Fairness”

- **Appealing to “fairness” can be very productive**
 - Equality rule: Everyone gets the same amount
 - Equity rule: Everyone gets what they deserve
 - Needs-based rule: Everyone gets what they need
 - Rules vary by individual, situation, and relationship
- **Use objective-appearing rationale to support your offers**
 - Helps to “tell a story”
- **Most people want to be fair and don’t realize when they are self-serving**

EMBA



Washington University in St. Louis

First Offers

- **First offers are highly predictive of final agreements**
- **Making the first offer**
 - Advantageous anchor with good information or a good bluff
 - Disadvantageous when other party has better information → Winner’s curse
- **Overcome negative impact of counterpart’s first offer**
 - Think about your own target and counterpart’s BATNA
 - Counteroffer quickly to limit anchoring and show willing to negotiate
 - Don’t fall for “even split”—assess whether the anchor is favorable
- **Pay attention to the pattern of concessions**
 - Bilateral, not unilateral
 - Not larger than those of counterpart, and decreasing

EMBA



Washington University in St. Louis

Outcomes and Satisfaction

- **Satisfaction is important**
 - Theirs: implementation and future relationship
 - Yours: perseverance and attitude
- **Different strategies for increasing satisfaction before versus after the negotiation**
- **Before the negotiation**
 - Set an aggressive target to maximize the deal
 - But don't mislead yourself into passing up a good deal
 - Don't just aim to exceed your reservation price
- **After the negotiation**
 - Don't think about how you got less than the aggressive target
 - Think about how much you exceeded your reservation price

EMBA



Washington University in St. Louis

Why is Negotiation Style Important?

- **If you do not know what your instincts and intuition will guide you to do in different conditions, you cannot plan effective strategies and responses**
 - Thus, the self-assessment and peer feedback
- **Be yourself**
 - Work at *using the style you have*, as effectively as possible
 - Expand your repertoire of variations that are still *you*
- **Realize that others may be different from you**
 - Assess your negotiation counterpart
 - Understand how others might see you

Source: Shell (1999)

EMBA



Washington University in St. Louis

The Most Effective Negotiators

- **No one style works best!**
- The most effective negotiators
 - Prepare
 - Have high but realistic expectations
 - Listen carefully and communicate clearly
 - Leave the counterpart willing to work together again
 - Have personal integrity
 - Take initiative and play an active role

Sources: Curhan, Elfenbein & Xu (2006); Rackham (1980), Shell (1999)

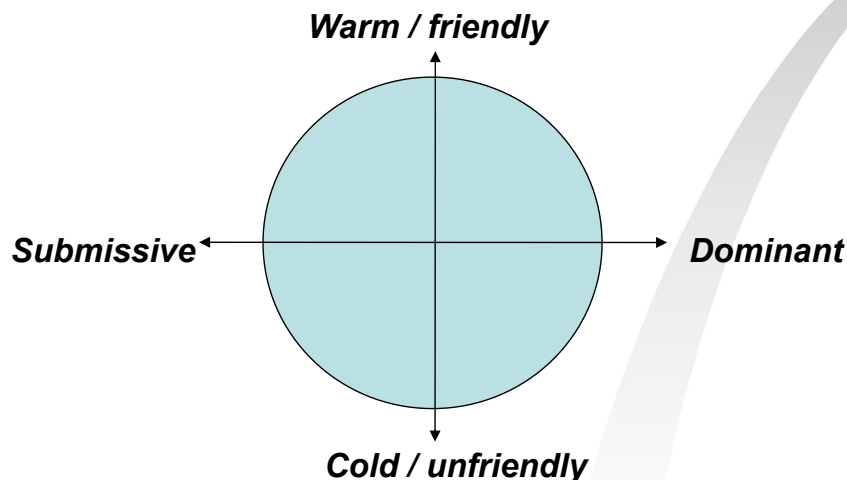
EMBA



Washington University in St. Louis

Circumplex Model of Interpersonal Behavior

Psychologists working independently of negotiations researchers had long considered all interpersonal behavior to be described by a two-dimensional space (Osgood, 1970; Wiggins, 1979)

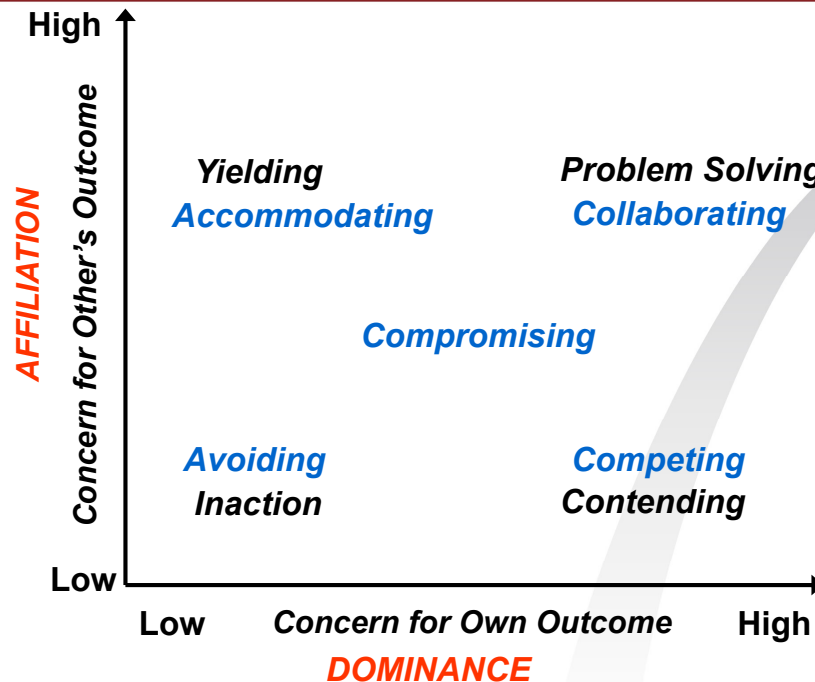


EMBA



Washington University in St. Louis

Conflict Styles Map to Dual Concerns



EMBA



Washington University in St. Louis

Practice standing up for yourself

- **Practice makes perfect. Try getting comfortable with a few simple phrases, e.g.,**
 - What can you do on the price?*
 - Please let me know about your promotional discounts.*
 - What is the best discount you are allowed to offer?*
 - Can you match the price I saw elsewhere?*
- **You have nothing to lose**
- **Small wins can reinforce your confidence**
- **Develop a strong BATNA and careful research**
- **Imagine how you are advocating on behalf of others**

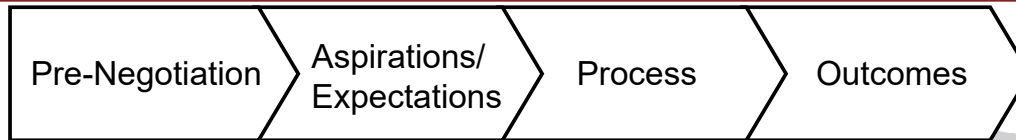
Source: Shell (1999)

EMBA



Washington University in St. Louis

Gender and Negotiation



Men more likely to view business situations as negotiable

e.g., men more likely to negotiate salary in employment negotiations

Men set higher aspirations than women; confident but can be over-confident

Both men and women set higher aspirations against women, due to stereotypes that may be self-fulfilling.

Women more likely to inquire about the other's needs;

Men are more likely to view a negotiation as persuasion.

Men are more willing to distinguish the negotiation process from relationships.

Men claim more value than women in distributive negotiations, but women find more integrative potential and reach fewer impasses.

Men place a greater value on economic outcomes; women place a greater value on relational outcomes.

Most gender differences go away if women are acting as agents for others.

Differences greatest in ambiguous settings.

...but remember these are all just averages.

EMBA



Washington University in St. Louis

Countering Stereotypes

- **Stereotypes will apply to *all* of you**
 - Age, MBA, American (or not), even if not race, gender
- **Know the stereotypes, and how they might be applied to you**
- **Think in advance about how you will deal with discrimination**
- **Follow all of the other analytic techniques of this course**
 - These rules apply to everyone, and protect you

EMBA



Washington University in St. Louis

Exercise: Quads

- **3-4 people rotate through 1:1 negotiations**
 - This means you will have 2-3 partners
- **Three rounds are 30 minutes each**
 - 20 minutes to negotiate (or reach an impasse)
 - 5 minutes to fill out survey
 - 5 minutes to switch partners
- **Please keep track of time** (so you get lunch)
- **Tonight enter survey results into Qualtrics**